

Table 57.4 Breakout and Post-Breakout Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Breakout direction	83% up	74% up	17% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 39%, M 45%, H 42%	L 34%, M 25%, H 22%	L -17%, M -14%, H -12%
Throwbacks/pullbacks occurrence	68%	64%	64%
Average time to throwback/pullback peaks	6% in 6 days	8% in 6 days	-7% in 6 days
Average time to throwback/pullback ends	12 days	11 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	42%	23%	-15%
Average rise/decline for patterns without throwbacks/pullbacks	43%	25%	-14%
Percentage price resumes trend	80%	65%	57%
Performance with breakout day gap	40%	21%	-16%
Performance without breakout day gap	43%	24%	-15%
Average gap size	\$0.43	\$0.34	\$0.38

The numbers suggest, however, that those with breakouts in the middle third of the yearly price range outperform. The other two columns prefer those patterns near the yearly low, but they will be difficult to find (too rare).

Throwbacks and pullbacks. Throwbacks and pullbacks happen twice in every three trades, on average. When they do occur, it takes 11 or 12 days